TOPIC ⑨ · RECORDED PRICING LECTURE

Price Discrimination: Charging Different People Different Prices (Legally)

PLAIN ENGLISH

Customers differ in how much they'll pay. A company makes the most money if each person pays close to their own maximum. Kahn stressed doing this **legally and ethically**, and keeping people happy, because customers hate prices that feel unfair.

Degree	How it works	Examples from class
1st	**A unique price for each person**, usually by negotiating up to their max	Used cars, antiques, art, rugs; B2B deals. ⚠ Control your sales force: they'll cut price rather than lose a sale (BeWood).
2nd	Customers **pick a trade-off**, usually **quantity**: buy more, pay less per unit	Bulk discounts. **Two-part tariff**: lock in, then pay per use (razor + blades, HP printer + ink, Keurig + pods). **Three-part tariff** = subscriptions (intro price, then tiers by usage; newspapers). Loyalty programs.
3rd	**Customers fall into segments; the less price-sensitive segment pays more**	**The menu below ↓**

Skimming vs Penetration

Skim = start HIGH for eager buyers, drop over time: Apple launches, fashion (runway → ready-to-wear → T.J.Maxx).

Penetration = start LOW (even free) to hook people, then raise: intro phone plans, coupons for first-timers, **freemium** (Dropbox, AI tools: "you can't do anything without paying more").

EDLP vs High-Low

EDLP (Walmart, Best Buy): good prices every day, often with **price matching**. Most people then stop searching; the few who search get matched. “When they say there's a price match, there probably is a cheaper price out there.”
High-low: **loss leaders** lure you in; everything else is priced above EDLP. **Cherry-pickers** buy only the deals, but “most people don't do that.”

Random vs Periodic discounts

Random: you don't know when; coupons, the promo-code box (“I hate that”). Bargain hunters search; others pay full.
Periodic: predictable, but you give something up (early-bird specials, end of season, 3pm movies).

Secondary markets & versioning

Students/seniors get lower prices, but must **show ID** (a transaction cost so not everyone qualifies).
Versioning (good/better/best): the top tier is priced above its extra benefits for insensitive buyers (first class); the bottom is stripped down; most buy the middle.

LOYALTY ≠ DISCOUNT 🎤 **CLASS**

Loyal customers are **less price-sensitive**, so “I raise price.” Airline loyalty programs make people pay more for small benefits. That links directly to the sample essay on subscription perks (topic ⑤).

Practice: multiple choice (9), with answers

MC 1 [SAID IN CLASS]

A used-car dealer negotiates each buyer up to their personal maximum. This is:

- **✔ CORRECT: First-degree price discrimination**
- Second-degree
- Third-degree
- A two-part tariff

> **EXPLANATION**
> A unique price per person. Common in haggling categories and B2B, where you must control salespeople who cut price to close.

MC 2 [SAID IN CLASS]

HP sells printers cheaply and makes money on ink. This is a:

- **✔ CORRECT: Two-part tariff (second-degree)**
- Skimming strategy
- Third-degree segment pricing
- Loss leader

> **EXPLANATION**
> Lock in with a cheap base, then charge for refills: razor/blades, Keurig/pods.

MC 3 [SAID IN CLASS]

Apple charges the most at launch and lowers prices over time. This is:

- ✔ **CORRECT: Skimming**
- Penetration
- EDLP
- Versioning

> **EXPLANATION**
> Skim the eager, price-insensitive buyers first. Fashion does it too: runway → ready-to-wear → T.J.Maxx.

MC 4 [SAID IN CLASS]

A free AI tier that pushes heavy users to pay later is:

- ✔ **CORRECT: Penetration (freemium)**
- Skimming
- First-degree
- Periodic discounting

> **EXPLANATION**
> Start low or free to hook users, then charge (Dropbox, AI tools).

MC 5 [SAID IN CLASS]

Why do EDLP stores offer price matching?

- **✔ CORRECT: It convinces most shoppers they're cheapest so they stop searching; searchers get matched**
- To raise prices
- Because they use loss leaders
- It's legally required

EXPLANATION

Kahn: if they offer a price match, 'there probably is a cheaper price out there' (a rival's loss leader).

MC 6 [SAID IN CLASS]

A store sells milk below cost to bring shoppers in, pricing other items above EDLP. Who undermines this?

- **✔ CORRECT: Cherry-pickers who buy only the loss leaders**
- Loyal full-basket shoppers
- Price-insensitive shoppers
- Suppliers

EXPLANATION

High-low works because most people buy other items once inside; cherry-pickers don't.

MC 7 [SAID IN CLASS]

Student discounts that require an ID are an example of:

- **✔ CORRECT: Third-degree discrimination with a transaction cost fencing the discount**
- Two-part tariff
- Skimming
- First-degree

EXPLANATION

The ID requirement keeps everyone else from claiming the lower price.

MC 8 [SAID IN CLASS]

In good/better/best versioning, the 'best' tier is usually:

- **✔ CORRECT: Priced above the value of its extra benefits, because its buyers aren't price-sensitive**
- Priced at cost
- Cheaper than 'better'
- Identical to 'good'

EXPLANATION

Like first-class seats. Most people buy the middle.

MC 9 [SAID IN CLASS]

Early-bird dinner specials are an example of:

- **✔ CORRECT: Periodic discounting: predictable, but you give something up (time)**
- Random discounting
- Two-part tariff
- Skimming

EXPLANATION

Random = coupons and promo codes you have to hunt for; periodic = known in advance with a trade-off.

Practice: short answers (3), with model answers

SHORT ANSWER 1 (9 points)

Explain the three degrees of price discrimination with an example of each, and why firms use them.

What a full-credit answer covers

- Purpose: maximize profit by charging each customer close to their WTP (legally, ethically, fairly)
- 1st degree: unique price per customer (used cars, B2B; control sales force)
- 2nd degree: self-selection/quantity (bulk, two-part tariff, three-part subscriptions)
- 3rd degree: segment-based (skimming/penetration, EDLP vs high-low, coupons, student ID, versioning)
- Mentions fairness/price sensitivity or loyalty desensitization

MODEL ANSWER

Firms want to charge each customer close to their maximum willingness to pay, legally and in a way that feels fair. First-degree sets a unique price for each person, usually through negotiation (used cars, art, B2B deals), which is why companies must control salespeople who discount to close. Second-degree lets customers sort themselves, usually by quantity: bulk discounts, two-part tariffs (cheap razor, pricey blades; HP printers and ink), and three-part tariffs like subscriptions with intro prices and usage tiers. Third-degree charges different segments different prices, with the less price-sensitive paying more: skimming (Apple) vs penetration (freemium), EDLP vs high-low loss leaders, coupons, student discounts with ID, and good/better/best versioning. Loyal customers are less price-sensitive, so loyalty programs often let firms charge more.

SHORT ANSWER 2 (9 points)

Compare EDLP and high-low pricing. When does each make sense?

What a full-credit answer covers

- EDLP: steady low prices (Walmart, Best Buy); smooths demand; price matching
- Price-match logic: reduces search; defends against loss leaders
- High-low: loss leaders bring traffic, other items priced higher; can be more profitable
- Risk: cherry-pickers; customers trained to wait
- Fit: EDLP with operational efficiency / low-price positioning; high-low where basket-building works

MODEL ANSWER

EDLP (Walmart, Best Buy) keeps prices consistently low. It suits retailers with efficient operations and a low-price position, and it smooths demand. EDLP stores often offer price matching, which convinces most shoppers they're getting the lowest price so they stop searching, while the few who find a cheaper rival price (often a loss leader) get matched. High-low uses deep 'loss leader' deals to bring shoppers in and prices everything else above EDLP, betting that most people fill their baskets once inside. That can be more profitable, but cherry-pickers who buy only the deals undermine it. Choose EDLP when you lead on cost and want steady traffic; high-low when promotions build bigger baskets.

SHORT ANSWER 3 (9 points)

Skimming or penetration? Recommend a launch pricing strategy for a new AI productivity app.

What a full-credit answer covers

- Defines skimming (start high, drop) with examples (Apple, fashion)
- Defines penetration/freemium (start low/free, raise) with examples (Dropbox, AI)
- Considers price sensitivity of early adopters, competition, network effects
- Recommendation fits the product (likely freemium/penetration to build users; upsell tiers)
- Mentions versioning tiers / two- or three-part tariff to monetize

MODEL ANSWER

Skimming launches at a high price for eager, price-insensitive buyers and lowers it over time (Apple, runway fashion). Penetration starts low, or free with freemium, to build a large user base quickly, then charges once people depend on the product (Dropbox, today's AI tools). For an AI productivity app in a crowded market, where value grows as users build habits and data, I'd use penetration through freemium: a useful free tier to drive adoption, then paid good/better/best tiers (versioning) for heavier users, a three-part-tariff structure. Skimming would make sense only with a clear, defensible lead and a passionate early-adopter segment willing to pay much more.